

committee to seek new management. GEICO's share price was still weakening—it was now \$5 and heading lower.¹⁰

After the 1976 annual meeting, GEICO announced that John J. Byrne, a 43-year-old marketing executive from Travelers Corporation, would become the new president. Soon after Byrne's appointment, the company announced a \$76 million preferred stock offering to shore up its capital. But shareholders had lost hope, and the stock drifted down to \$2 per share.

During this period, Warren Buffett was quietly and doggedly buying stock in GEICO. As the company teetered on the edge of bankruptcy, he invested \$4.1 million, gathering 1,294,308 shares at an average price of \$3.18.

Tenet: Simple and Understandable

When Buffett attended Columbia University in 1950, his teacher, Ben Graham, was a director of GEICO. His curiosity stimulated, Buffett went to Washington, D.C., one weekend to visit the company. On Saturday, he knocked on the company's door and was let in by a janitor, who led him to the only executive in the office that day, Lorimer Davidson. Buffett peppered him with questions, and Davidson spent the next five hours schooling his young visitor on GEICO's distinctions. Philip Fisher would have been impressed.

Later, when Buffett returned to Omaha and his father's brokerage firm, he recommended that the firm's clients buy GEICO. He himself invested \$10,000, approximately two-thirds of his net worth, in its stock. Many investors resisted his recommendation. Even Omaha's insurance agents complained to Howard Buffett that his son was promoting an "agentless" insurance company. Frustrated, Warren Buffett sold his GEICO shares a year later, at a 50 percent profit, and did not again purchase shares in the company until 1976.

Undaunted, Buffett continued to recommend insurance stocks to his clients. He bought Kansas City Life at three times its earnings. He owned Massachusetts Indemnity & Life Insurance Company in Berkshire Hathaway's security portfolio, and in 1967 he purchased the controlling interest in National Indemnity. For the next 10 years, Jack Ringwalt, the CEO of National Indemnity, educated Buffett on the mechanics of running